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47.1.1 CAPITAL ASSESSMENT AND ADEQUACY BASEL SPECIFIC

The State Bank of Pakistan (SBP) introduced guidelines with respect to disclosure of capital adequacy related information in the financial statements of banks vide its communication dated November 5, 2014. These guidelines are based on the requirements of Basel III which were introduced earlier by the SBP in August 2013 for implementation by banks in Pakistan. The disclosures below have been prepared on the basis of these new guidelines. The comparative information is as per requirements which were applicable last year.

The Group's capital adequacy is reported using the rules and ratios provided by the State Bank of Pakistan.The capital adequacy ratio is a measure of the amount of a Group's capital expressed as a percentage of its risk weighted assets (RWAs). Banking operations are categorized as either Trading Book or Banking Book and RWAs are determined according to specific treatments as per the requirements of SBP that measure the varying levels of risk attached to on balance sheet and off-balance sheet exposures.Under the current capital adequacy regulations, credit risk and market risk exposures are measured using the Standardized Approach and operational risk is measured using the Basic Indicator Approach. Credit risk mitigants are also applied against the Group's exposures based on eligible collateral.

In implementing current capital requirements the State Bank of Pakistan requires all banks to maintain minimum Capital Adequacy Ratio (CAR) of 11.50% (on Standalone & Consolidated basis) as of December 31, 2025 whereas MBL's Consolidated CAR stood at 19.43% as of December 31, 2025.

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47.2 Capital Adequacy Ratio (CAR) disclosure

	2025	2024
	-------------- Rupees in '000 --------------	
Common Equity Tier 1 capital (CET1): Instruments and reserves		
Fully paid-up capital / capital deposited with the SBP	18,005,546	17,947,407
Balance in share premium account	3,879,234	3,104,253
Reserve for issue of bonus shares		
Discount on issue of shares		
General / Statutory Reserves	54,105,530	44,922,330
Gain / (Losses) on derivatives held as Cash Flow Hedge		
Unappropriated profits	195,304,919	163,601,396
Minority Interests arising from CET1 capital instruments issued to third party by consolidated	740,228	552,223
bank subsidiaries (amount allowed in CET1 capital of the consolidation group)	-	-
CET 1 before Regulatory Adjustments	272,035,457	230,127,609
Total regulatory adjustments applied to CET1 (Note 47.2.1)	(4,139,178)	(3,322,903)
Common Equity Tier 1	267,896,278	226,804,706
Additional Tier 1 (AT 1) Capital		
Qualifying Additional Tier-1 capital instruments plus any related share premium	-	-
of which:		
- classified as equity		
- classified as liabilities	7,000,000	7,000,000
Additional Tier-1 capital instruments issued by consolidated subsidiaries and held by third parties	130,628	97,451
- of which: instrument issued by subsidiaries subject to phase out	-	-
AT1 before regulatory adjustments	7,130,628	7,097,451
Total of Regulatory Adjustment applied to AT1 capital (Note 47.2.2)	(353)	-
Additional Tier 1 capital after regulatory adjustments	7,130,275	7,097,451
Tier 1 Capital (CET1 + admissible AT1)	275,026,553	233,902,157
Tier 2 Capital		
Qualifying Tier 2 capital instruments under Basel III plus any related share premium	9,990,000	13,990,000
Capital instruments subject to phase out arrangement issued	-	-
Tier 2 capital instruments issued to third parties by consolidated subsidiaries	217,714	162,418
of which: instruments issued by subsidiaries subject to phase out	-	-
General Provisions or general reserves for loan losses-up to maximum		
of 1.25% of Credit Risk Weighted Assets	12,291,928	10,992,114
Revaluation Reserves (net of taxes)	-	-
of which:	-	-
- Revaluation reserves on fixed assets	-	-
- Unrealized gains/losses on AFS	14,380,110	22,141,192
Foreign Exchange Translation Reserves	-	-
Undisclosed/Other Reserves (if any)	-	-
T2 before regulatory adjustments	36,879,752	47,285,724
Total regulatory adjustment applied to T2 capital (Note 47.2.3)	-	-
Tier 2 capital (T2) after regulatory adjustments	36,879,752	47,285,724
Tier 2 capital recognized for capital adequacy	36,879,752	47,285,724
Portion of Additional Tier 1 capital recognized in Tier 2 capital	-	-
Total Tier 2 capital admissible for capital adequacy	36,879,752	47,285,724
TOTAL CAPITAL (T1 + admissible T2)	311,906,305	281,187,881
Total Risk Weighted Assets (RWA) {for details refer Note 47.4}	1,605,353,956	1,367,109,875

	2025	2024
Particulars	**Amount**	
	-------------- Rupees in '000 --------------	
Capital Ratios and buffers (in percentage of risk weighted assets)		
CET1 to total RWA	16.69%	16.59%
Tier-1 capital to total RWA	17.13%	17.11%
Total capital to total RWA	19.43%	20.57%
Bank specific buffer requirement (minimum CET1 requirement plus capital		
conservation buffer plus any other buffer requirement) of which:	7.50%	7.50%
- capital conservation buffer requirement	1.50%	1.50%
- countercyclical buffer requirement	-	-
- D-SIB or G-SIB buffer requirement	-	-
CET1 available to meet buffers (as a percentage of risk weighted assets)	10.69%	10.59%
National minimum capital requirements prescribed by SBP		
CET1 minimum ratio	6.00%	6.00%
Tier 1 minimum ratio	7.50%	7.50%
Total capital minimum ratio	10.00%	10.00%
CCB (Consisting of CET 1 only)	1.50%	1.50%
Total Capital plus CCB	11.50%	11.50%

Particulars	2025 Amount	2025 Pre-Basel III treatment*	2024 Amount	2024 Pre-Basel III treatment*
	------------------------- Rupees in '000	-------------------------		
47.2.1 Common Equity Tier 1 capital: Regulatory adjustments				
Goodwill (net of related deferred tax liability)	-	-	-	-
All other intangibles (net of any associated deferred tax liability)	3,493,490	-	2,960,432	-
Shortfall of provisions against classified assets	-	-	-	-
Deferred tax assets that rely on future profitability excluding those arising from temporary differences (net of related tax liability)	-	-	-	-
Defined-benefit pension fund net assets	-	-	-	-
Reciprocal cross holdings in CET1 capital instruments	-	-	-	-
Cash flow hedge reserve	-	-	-	-
Investment in own shares / CET1 instruments	645,688	-	362,471	-
Securitization gain on sale	-	-	-	-
Capital shortfall of regulated subsidiaries	-	-	-	-
Deficit on account of revaluation from bank's holdings of property / AFS	-	-	-	-
Investments in the capital instruments of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued share capital (amount above 10% threshold)	-	-	-	-
Significant investments in the common stocks of banking, financial and insurance entities that are outside the scope of regulatory consolidation (amount above 10% threshold)	-	-	-	-
Deferred Tax Assets arising from temporary differences (amount above 10% threshold, net of related tax liability)	-	-	-	-
Amount exceeding 15% threshold of which:				
- significant investments in the common stocks of financial entities	-	-	-	-
- deferred tax assets arising from temporary differences	-	-	-	-
National specific regulatory adjustments applied to CET1 capital	-	-	-	-
Investment in TFCs of other banks exceeding the prescribed limit	-	-	-	-
Any other deduction specified by SBP	-	-	-	-
Regulatory adjustment applied to CET1 due to insufficient AT1 and Tier 2 to cover deductions	-	-	-	-
Total regulatory adjustments applied to CET1	**4,139,178**	**-**	**3,322,903**	**-**
47.2.2 Additional Tier 1 Capital: regulatory adjustments				
Investment in mutual funds exceeding the prescribed limit (SBP specific adjustment)	353	-	-	-
Investment in own AT1 capital instruments	-	-	-	-
Reciprocal cross holdings in Additional Tier 1 capital instruments	-	-	-	-

Particulars	2025 Amount	2025 Pre-Basel III treatment*	2024 Amount	2024 Pre-Basel III treatment*
	------------------------- Rupees in '000	-------------------------		
Investments in the capital instruments of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued share capital (amount above 10% threshold)	-	-	-	-
Significant investments in the capital instruments issued by banking, financial and insurance entities that are outside the scope of regulatory consolidation	-	-	-	-
Portion of deduction applied 50:50 to core capital and supplementary capital based on pre-Basel III treatment which, during transitional period, remain subject to deduction from tier-1 capital	-	-	-	-
Regulatory adjustments applied to Additional Tier 1 due to insufficient Tier 2 to cover deductions				
Total of Regulatory Adjustment applied to AT1 capital	353	-	-	-

* This column highlights items that are still subject to Pre Basel III treatment during the transitional period

47.2.3 Tier 2 Capital: regulatory adjustments

Particulars	2025 Amount	2025 Pre-Basel III treatment*	2024 Amount	2024 Pre-Basel III treatment*
Portion of deduction applied 50:50 to core capital and supplementary capital based on pre-Basel III treatment which, during transitional period, remain subject to deduction from tier-2 capital	-	-	-	-
Reciprocal cross holdings in Tier 2 instruments	-	-		-
Investment in own Tier 2 capital instrument	-	-	-	-
Investments in the capital instruments of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued share capital (amount above 10% threshold)	-	-	-	-
Significant investments in the capital instruments issued by banking, financial and insurance entities that are outside the scope of regulatory consolidation	-	-	-	-
Amount of Regulatory Adjustment applied to T2 capital	**-**	**-**	**-**	**-**

* This column highlights items that are still subject to Pre Basel III treatment during the transitional period

40.2.4 Risk Weighted Assets subject to pre-Basel III treatment

	2025	2024
	Rupees in '000	
Risk weighted assets in respect of deduction items (which during the transitional period will be risk weighted subject to Pre-Basel III Treatment)	-	-
of which: deferred tax assets	-	-
of which: Defined-benefit pension fund net assets	-	-
of which: Recognized portion of investment in capital of banking, financial and insurance entities where holding is less than 10% of the issued common share capital of the entity	-	-
of which: Recognized portion of investment in capital of banking, financial and insurance entities where holding is more than 10% of the issued common share capital of the entity	-	-
Amounts below the thresholds for deduction (before risk weighting)		
Non-significant investments in the capital of other financial entities	1,005,560	1,067,555
Significant investments in the common stock of financial entities	-	-
Deferred tax assets arising from temporary differences (net of related tax liability)	-	-
Applicable caps on the inclusion of provisions in Tier 2		
Provisions eligible for inclusion in Tier 2 in respect of exposures subject to standardized approach (prior to application of cap)	19,057,687	17,721,304
Cap on inclusion of provisions in Tier 2 under standardized approach	12,291,928	10,992,114
Provisions eligible for inclusion in Tier 2 in respect of exposures subject to internal ratings-based approach (prior to application of cap)	-	-
Cap for inclusion of provisions in Tier 2 under internal ratings-based approach	-	-

47.3 Capital Structure Reconciliation

Reconciliation of each financial statement line item to item under regulatory scope of reporting - Step 1

Particulars	Balance sheet as in published financial statements	Under regulatory scope of reporting
	As at December 31, 2025	
	-----------------(Rupees in '000)--------------	
Assets		
Cash and balances with treasury banks	330,810,281	330,810,281
Balances with other banks	15,439,064	15,439,064
Due from financial institutions	12,325,225	12,325,225
Investments	2,608,334,204	2,608,334,204
Islamic financing and related assets	1,640,934,798	1,640,934,798
Property and equipment	50,826,681	50,826,681
Right-of-use assets	22,174,737	22,174,737
Intangible assets	3,493,490	3,493,490
Deferred tax assets	-	-
Other assets	135,596,974	135,596,974
Total assets	**4,819,935,454**	**4,819,935,454**
Liabilities and Equity		
Bills payable	73,767,955	73,767,955
Due to financial institutions	887,048,227	887,048,227
Deposits and other accounts	3,302,337,407	3,302,337,407
Lease liability against right-of-use assets	28,889,130	28,889,130
Sub-ordinated sukuk	16,990,000	16,990,000
Deferred tax liabilities	3,607,635	3,607,635
Other liabilities	219,097,035	219,097,035
Total liabilities	**4,531,737,389**	**4,531,737,389**
Share capital	18,005,546	18,005,546
Reserves	57,984,764	57,984,764
Unappropriated profit	195,304,919	195,304,919
Minority Interest	2,522,726	2,522,726
Surplus on revaluation of investments - net of tax	14,380,110	14,380,110
	288,198,065	**288,198,065**
Total liabilities and equity	**4,819,935,454**	**4,819,935,454**

Reconciliation of balance sheet to eligible regulatory capital - Step 2

Particulars	Reference	Balance sheet as in published financial statements	Under regulatory scope of reporting
		As at December 31, 2025	
		-----------------(Rupees in '000)--------------	
Assets			
Cash and balances with treasury banks		**330,810,281**	**330,810,281**
Balances with other banks		**15,439,064**	**15,439,064**
Due from financial institutions		**12,325,225**	**12,325,225**

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Particulars	Reference	Balance sheet as in published financial statements	Under regulatory scope of reporting
		As at December 31, 2025	
		-----------------(Rupees in '000)---------------	
Investments		**2,608,334,204**	**2,608,334,204**
of which:			
- *non-significant capital investments in capital of other financial institutions exceeding 10% threshold*	a	-	-
- *significant capital investments in financial sector entities exceeding regulatory threshold*	b	-	-
- *mutual Funds exceeding regulatory threshold*	c	353	353
- *reciprocal crossholding of capital instrument*	d	-	-
- *others*	e	645,688	645,688
Islamic financing and related assets		**1,640,934,798**	**1,640,934,798**
- *shortfall in provisions / excess of total EL amount over eligible provisions under IRB*	f	-	-
- *general provisions reflected in Tier 2 capital*	g	19,057,687	12,291,928
Fixed assets		**50,826,681**	**50,826,681**
Right-of-use assets		**22,174,737**	**22,174,737**
Intangible assets	**k**	**3,493,490**	**3,493,490**
Deferred tax assets		-	-
of which:			
- *DTAs that rely on future profitability excluding those arising from temporary differences*	h	-	-
- *DTAs arising from temporary differences exceeding regulatory threshold*	i	-	-
Other assets		**135,596,974**	**135,596,974**
of which:			
- *goodwill*	j	-	-
- *defined-benefit pension fund net assets*	l	-	-
Total assets		**4,819,935,454**	**4,819,935,454**
Liabilities and Equity			
Bills payable		73,767,955	73,767,955
Due from financial institutions		887,048,227	887,048,227
Deposits and other accounts		3,302,337,407	3,302,337,407
Lease liability against right-of-use assets		28,889,130	28,889,130
Sub-ordinated sukuk of which:		16,990,000	16,990,000
- *eligible for inclusion in AT1*	m	7,000,000	7,000,000
- *eligible for inclusion in Tier 2*	n	9,990,000	9,990,000
Liabilities against assets subject to finance lease			
Deferred tax liabilities of which:		3,607,635	3,607,635
- *DTLs related to goodwill*	o	-	-
- *DTLs related to intangible assets*	p	-	-
- *DTLs related to defined pension fund net assets*	q	-	-
- *other deferred tax liabilities*	r	-	-
Other liabilities		219,097,035	219,097,035
Total liabilities		**4,531,737,389**	**4,531,737,389**

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	Particulars	Reference	Balance sheet as in published financial statements	Under regulatory scope of reporting
			As at December 31, 2025	
			-----------------(Rupees in '000)---------------	
Share capital			**18,005,546**	**18,005,546**
-	*of which: amount eligible for CET1*	s	18,005,546	18,005,546
-	*of which: amount eligible for AT1*	t	-	-
Reserves of which:			**57,984,764**	**57,984,764**
-	*portion eligible for inclusion in CET1 - Share premium*		3,879,234	3,879,234
-	*portion eligible for inclusion in CET1 - Statutory reserve*		49,671,959	49,671,959
-	*portion eligible for inclusion in CET1 - Gain on Bargain Purchase*	u	3,117,547	3,117,547
-	*portion eligible for inclusion in CET1 - Employee Share Option*		1,224,942	1,224,942
-	*portion eligible for inclusion in CET1 - General reserve*		91,082	91,082
-	*portion eligible for inclusion in Tier 2 General reserve*	v	-	-
Unappropriated profit		w	**195,304,919**	**195,304,919**
Minority Interest of which:			**2,522,726**	**2,522,726**
-	*portion eligible for inclusion in CET1*	x	740,228	740,228
-	*portion eligible for inclusion in AT1*	y	130,628	130,628
-	*portion eligible for inclusion in Tier 2*	z	217,714	217,714
Surplus / (Loss) on revaluation of assets of which:			**14,380,110**	**14,380,110**
-	*Revaluation reserves on Property*		-	-
-	*Unrealized Gains/Losses on AFS*	aa	14,380,110	14,380,110
-	*Unrealized Gains/Losses on Non-Banking Assets*	ab	-	-
Total liabilities and Equity			**4,819,935,454**	**4,819,935,454**

Basel III Disclosure (with added column) - Step 3

	Particulars	Source based on reference number from step 2	Component of regulatory capital reported by bank
		-----------------(Rupees in '000)---------------	
	Common Equity Tier 1 capital (CET1): Instruments and reserves		
1	Fully Paid-up Capital	(s)	18,005,546
2	Balance in share premium account	(u)	3,879,234
3	Reserve for issue of bonus shares		-
4	General / Statutory Reserves	(u)	54,105,530
5	Gain / (Losses) on derivatives held as Cash Flow Hedge		-
6	Unappropriated / unremitted profits	(w)	195,304,919
7	Minority Interests arising from CET1 capital instruments issued to third party by consolidated bank subsidiaries (amount allowed in CET1 capital of the consolidation group)	(x)	740,228
8	**CET 1 before Regulatory Adjustments**		**272,035,457**
	Common Equity Tier 1 capital: Regulatory adjustments		
9	Goodwill (net of related deferred tax liability)		-
10	All other intangibles (net of any associated deferred tax liability)	(k)	3,493,490
11	Shortfall of provisions against classified assets		-
12	Deferred tax assets that rely on future profitability excluding those arising from temporary differences (net of related tax liability)		-
13	Defined-benefit pension fund net assets		-
14	Reciprocal cross holdings in CET1 capital instruments	(d)	-
15	Cash flow hedge reserve		-
16	Investment in own shares / CET1 instruments	(e)	645,688

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	Particulars	Source based on reference number from step 2	Component of regulatory capital reported by bank
		-----------------(Rupees in '000)---------------	
17	Securitization gain on sale		-
18	Capital shortfall of regulated subsidiaries		-
19	Deficit on account of revaluation from bank's holdings of property / AFS		-
20	Investments in the capital instruments of banking, financial and insurance		-
21	Significant investments in the capital instruments issued by banking, entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued share capital (amount above 10% threshold) financial and insurance entities that are outside the scope of regulatory consolidation (amount above 10% threshold)		-
22	Deferred Tax Assets arising from temporary differences (amount above 10% threshold, net of related tax liability)		-
23	Amount exceeding 15% threshold of which:		
	- significant investments in the common stocks of financial entities		-
	- deferred tax assets arising from temporary differences		-
24	National specific regulatory adjustments applied to CET1 capital		-
25	Investment in TFCs of other banks exceeding the prescribed limit		-
26	Any other deduction specified by SBP (mention details)		-
27	Regulatory adjustment applied to CET1 due to insufficient AT1 and Tier 2 to cover deductions		-
28	Total regulatory adjustments applied to CET1		4,139,178
	Common Equity Tier 1		**267,896,278**
	Additional Tier 1 (AT 1) Capital		
29	Qualifying Additional Tier-1 instruments plus any related share premium		7,000,000
	of which:		
30	- Classified as equity		-
31	- Classified as liabilities	(m)	7,000,000
32	Additional Tier-1 capital instruments issued by consolidated subsidiaries and held by third parties	(y)	130,628
33	- of which: instrument issued by subsidiaries subject to phase out		
34	**AT1 before regulatory adjustments**		**7,130,628**
	Additional Tier 1 Capital: regulatory adjustments		
35	Investment in mutual funds exceeding the prescribed limit (SBP specific adjustment)	(c)	353
36	Investment in own AT1 capital instruments		-
37	Reciprocal cross holdings in Additional Tier 1 capital instruments		-
38	Investments in the capital instruments of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued share capital (amount above 10% threshold)		-
39	Significant investments in the capital instruments issued by banking, financial and insurance entities that are outside the scope of regulatory consolidation		-
40	Portion of deduction applied 50:50 to core capital and supplementary capital based on pre-Basel III treatment which, during transitional period, remain subject to deduction from tier-1 capital		-
41	Regulatory adjustments applied to Additional Tier 1 due to insufficient Tier 2 to cover deductions		-
42	Total of Regulatory Adjustment applied to AT1 capital		353
43	Additional Tier 1 capital		7,130,275
44	**Additional Tier 1 capital recognised for capital adequacy**		**7,130,275**
	Tier 1 Capital (CET1 + admissible AT1)		**275,026,553**

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	Particulars	Source based on reference number from step 2	Component of regulatory capital reported by bank
		-----------------(Rupees in '000)---------------	
	Tier 2 Capital		
45	Qualifying Tier 2 capital instruments under Basel III	(n)	9,990,000
46	Capital instruments subject to phase out arrangement from Tier 2		-
47	Tier 2 capital instruments issued to third party by consolidated subsidiaries	(z)	217,714
	- of which: instruments issued by subsidiaries subject to phase out		-
48	General Provisions or general reserves for loan losses-up to maximum		-
	of 1.25% of Credit Risk Weighted Assets	(g)	12,291,928
49	Revaluation Reserves eligible for Tier 2 of which:		-
50	- portion pertaining to Property		-
51	- portion pertaining to AFS securities	(aa)	14,380,110
52	Foreign Exchange Translation Reserves		-
53	Undisclosed / Other Reserves (if any)		-
54	**T2 before regulatory adjustments**		**36,879,752**
	Tier 2 Capital: regulatory adjustments		
55	Portion of deduction applied 50:50 to core capital and supplementary capital based on pre-Basel III treatment which, during transitional period, remain subject to deduction from tier-2 capital		-
			-
56	Reciprocal cross holdings in Tier 2 instruments		-
57	Investment in own Tier 2 capital instrument		-
58	Investments in the capital instruments of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued share capital (amount above 10% threshold)		-
59	Significant investments in the capital instruments issued by banking, financial and insurance entities that are outside the scope of regulatory consolidation		-
60	Amount of Regulatory Adjustment applied to T2 capital		-
61	Tier 2 capital (T2)		36,879,752
62	Tier 2 capital recognised for capital adequacy		36,879,752
63	Excess Additional Tier 1 capital recognised in Tier 2 capital		-
64	Total Tier 2 capital admissible for capital adequacy		36,879,752
	TOTAL CAPITAL (T1 + admissible T2)		**311,906,305**

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47.4 Risk-weighted exposures

	Capital requirements		Risk weighted assets	
	2025	**2024**	**2025**	**2024**
Credit Risk	--------------------------(Rupees in '000)--------------------------			
Portfolios subject to on-balance sheet exposure (Simple Approach)				
Cash and cash equivalents	-	-	-	-
Sovereign	510,547	209,813	5,105,471	2,098,132
Public sector entities	5,879,841	5,114,473	58,798,409	51,144,730
Banks	852,173	502,182	8,521,726	5,021,816
Corporate	63,618,581	57,550,617	636,185,808	575,506,173
Retail	5,195,477	5,281,874	51,954,768	52,818,739
Residential mortgage	845,322	709,226	8,453,215	7,092,257
Past due loans	394,431	154,379	3,944,309	1,543,792
Operating fixed assets	7,300,142	6,884,913	73,001,418	68,849,125
All other assets	1,774,397	1,903,270	17,743,969	19,032,703
Portfolios subject to off-balance sheet exposure - non market related (Simple approach)				
Banks	352,389	434,584	3,523,886	4,345,837
Corporate	8,770,128	7,250,466	87,701,280	72,504,658
Sovereign	1,314,824	-	13,148,240	-
Public sector entities	526,805	1,044,116	5,268,049	10,441,160
Retail	152,857	270,310	1,528,567	2,703,096
Others	269,703	170,463	2,697,030	1,704,631
Portfolios subject to off-balance sheet exposures - market related (Current exposure method)				
Banks	366,487	273,050	3,664,870	2,730,501
Customers	152,593	88,944	1,525,929	889,442
Equity Exposure Risk in the Banking Book				
Unlisted equity investments held in banking book	58,729	94,232	587,285	942,324
Market Risk				
Capital Requirement for portfolios subject to Standardised Approach				
Interest rate risk	2,448,166	773,583	30,602,074	9,669,792
Equity position risk	4,229,609	2,787,835	52,870,117	34,847,944
Foreign Exchange risk	270,318	29,087	3,378,979	363,593
Operational Risk				
Capital requirement for operational risk	42,811,885	35,428,755	535,148,557	442,859,431
TOTAL	**148,095,404**	**126,956,173**	**1,605,353,956**	**1,367,109,875**

Capital Adequacy Ratio	**Required**	**Actual**	**Required**	**Actual**
	December-25		**December-24**	
CET1 to total RWA (including CCB & D-SIB buffer)*	7.50%	**16.69%**	16.69%	**16.59%**
Tier-1 capital to total RWA	9.00%	**17.13%**	17.13%	**17.11%**
Total capital to total RWA	11.50%	**19.43%**	19.43%	**20.57%**

* Capital Conservation Buffer requirement (CCB) was reduced by 1.0% by SBP under COVID-19 Relief measures till further instructions.
In the latest assessment carried out by the SBP under the Framework for Domestic Systemically Important Banks (D-SIBs) introduced vide BPRD Circular No.04 of 2018 dated April 13, 2018, MBL has been identified as a sample D-SIB.

47.5 LEVERAGE RATIO

According to Basel III instructions issued by the State Bank of Pakistan (BPRD circular no. 06 dated August 15, 2013), it is mandatory for all the banks to calculate and report the Leverage Ratio on a quarterly basis with the minimum benchmark of 3%.

The reason for calculating leverage ratio is to avoid excessive On- and Off-balance sheet leverage in the banking system. A simple, transparent and non-risk based Ratio has been introduced with the following objectives:

- Constrain the build-up of leverage in the banking sector which can damage the broader financial system and the economy; and
- Reinforce the risk based requirements with an easy to understand and a non-risk based measure.

The Basel III leverage ratio is defined as the capital measure (the numerator) divided by the exposure measure (the denominator), with this ratio expressed as a percentage:

$$\textbf{Leverage Ratio} = \frac{\textbf{Tier 1 capital (after related deductions)}}{\textbf{Total Exposure}}$$

	Particulars	2025	2024
		---------- Rupees in '000 --------	
	On balance sheet exposures		
1	On-balance sheet items (excluding unrealised gain on forward contracts)	4,185,120,536	3,362,225,640
2	Forward exchange commitments with positive fair values	2,583,278	2,302,224
	Total on balance sheet exposures	**4,187,703,814**	**3,364,527,864**
	Off balance sheet exposures		
3	Off-balance sheet items	972,639,040	827,301,528
4	Commitment in respect of forward exchange contracts	4,160,653	3,012,134
	Total Off balance sheet exposures	**976,799,693**	**830,313,662**
	Capital and total exposures		
5	**Tier 1 capital**	**275,026,553**	**233,902,157**
6	**Total exposures**	**5,164,503,507**	**4,194,841,526**
Basel III leverage ratio		**5.33%**	**5.58%**